

Document 8: Tier 3 Enhancements — MTAL, RSI Divergence, ROC, Peer Convergence

1) Overview

- **Tier:** 3 (Enhancements)
- **Role:** Refine, confirm, or weaken Tier 2 signals
- **Nature:**  Additive / deductive (no hard blocks)
- **Typical Impact:** ± 6 to ± 12 total depending on alignment
- **Precedence:** Applied after S2–S6, before coherence (Tier 4)

2) Components Covered

Tier 3 includes:

1. E1 — MTAL (Multi-Timeframe Alignment)
2. E2 — RSI Divergence (Validated Model)
3. E3 — ROC (Momentum Acceleration Layer)
4. E4 — Peer Convergence (Sector Confirmation)

E1) MTAL — Multi-Timeframe Alignment



Purpose

Ensure trend alignment across timeframes



What You Check

Timeframe	Role
Monthly	Primary bias
Weekly	Confirmation
Daily	Execution zone
LTF (1H/15m)	Entry timing

✓ Scoring (Max: +3 / Min: -2)

- +3 = Full alignment (Monthly + Weekly + Daily same direction) ✓
 - +2 = HTF aligned (Monthly + Weekly aligned, Daily neutral)
 - +1 = Partial alignment
 - 0 = Mixed signals
 - -1 / -2 = Conflict (HTF vs LTF opposite)
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✓ Core Logic (Your Style)

- Monthly bias dominates everything
- Weekly confirms
- Daily executes

✓ Example:

- Monthly bullish OB
- Weekly bullish structure
- Daily pullback
- ✓ High conviction (MTAL +3)

E2) RSI Divergence (Validated Model)

Purpose

Identify reversal probability inside OB zones

Your Approved Constraint

-  Use ONLY on:
 - Weekly OB/OS zones
 - Strong S2 context
 -  Backing:
 - Bulkowski study (~19,294 samples)  validated
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✓ Types

Type	Meaning
Bullish Divergence	Price ↓ but RSI ↑
Bearish Divergence	Price ↑ but RSI ↓

✓ Scoring (Max: +3 / Min: -2)

- +3 = Strong divergence at HTF OB ✓
- +2 = Clear divergence at valid zone
- +1 = Weak divergence
- 0 = No divergence
- -1 / -2 = Divergence failure (trend continuation risk)

Critical Rule

 Ignore RSI divergence outside OB zones

E3) ROC — Momentum Acceleration Layer

Purpose

Confirm whether momentum is building or fading

What You Measure

- Price ROC across:
 - 1 Week
 - 1 Month
 - 3 Month
 - 6 Month

✓ Core Logic (Your Idea ✓)

"Momentum is not static — acceleration matters"

✓ Scoring (Max: +3 / Min: -2)

- +3 = ROC increasing across multiple TFs ✓
- +2 = Positive momentum buildup
- +1 = Mild improvement
- 0 = Flat
- -1 / -2 = Momentum divergence (weak move)

✓ Key Insight

- ROC ↑ + S6 strong → **explosive move potential**
- ROC ↓ + Volume ↑ → **possible distribution**

E4) Peer Convergence — Sector Confirmation



Purpose

Validate stock move vs sector/peers



What You Check

- Sector index performance
 - Peer stocks behavior (same industry)
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Scoring (Max: +3 / Min: -2)

- +3 = Sector + majority peers aligned 
- +2 = Sector aligned, some peers
- +1 = Weak alignment
- 0 = Neutral
- -1 / -2 = Divergence (stock isolated)

✓ Your Approved Logic

"Institutional money moves in clusters, not single stocks"

✓ Example

- IT sector showing:
 - High delivery (your observation ✓)
 - Multiple IT stocks rising
 - ✓ Strong Peer Convergence
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3) Combined Tier 3 Scoring View

     Plain Text

1	E1 MTAL	max +3
2	E2 RSI Divergence	max +3
3	E3 ROC	max +3
4	E4 Peer Convergence	max +3
5	-----	
6	Typical Positive	+12
7		
8	Negative Range	-6 to -8

4) Interpretation

Total Tier 3 Score	Meaning
+8 to +12	 Strong enhancement (high-confidence setup)
+4 to +7	 Supportive
0 to +3	Neutral
-1 to -3	 Weakening
≤ -4	 Caution / possible trap

5) Interaction With Core Framework

✓ Case 1: Strong Core + Strong Enhancements

- S2 + S4 + S5 strong
 - Tier 3 = +8
 - ✓ A+ trade
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✓ Case 2: Moderate Core + Strong Enhancements

- S5 = 4–5
 - Tier 3 strong
 - ✓ Trade becomes valid
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✗ Case 3: Strong Core + Negative Enhancements

- S2/S4 strong but:
 - MTAL conflict
 - Sector not aligned
 - ⚠ Reduce aggression / wait
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✗ Case 4: Weak Core + Strong Enhancements

- S5 weak (1-3)
 - Even if Tier 3 strong
 - ✗ Cannot override structure weakness
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6) Priority Order Inside Tier 3

Most useful → Least:

1.  MTAL (highest importance)
 2.  Peer Convergence
 3.  ROC
 4.  RSI Divergence (conditional use)
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7) What Tier 3 Solves

- Avoids counter-trend trades
- Confirms sector-level moves
- Identifies hidden accumulation phases
- Filters false breakouts
- Improves probability of success

8) Practical Example (Your Style)

Scenario:

- S2 = Strong OB
- S4 = Clean sweep
- S5 = BOS confirmed

Now Tier 3:

- MTAL = +3 (all TF aligned)
- ROC = +2 (momentum building)
- Peer = +2 (sector moving)
- RSI = +2 (divergence at OB)

→ Total = +9

✅ Result:

High-probability institutional trade 🚀

9) Final Key Principle

✓ Tier 2 decides if trade exists

✓ Tier 3 decides how strong it is

✓ Document 8 (Tier 3 Enhancements) is complete